Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · DRHP

Jagatjit Agri Engineering Limited

Mainboard · Agricultural implements (tractor-mounted seeders, reapers, rotavators, land levellers, briquette machines) · filed 2026-10-01 · lead manager(s): Keynote Financial Services · issue size Rs 341 cr · price band: Not announced · analysed 2026-10-15

CALL

Screen only

CHECKS

1 fail · 6 watch · 7 pass · 0 open

Like-for-like (proforma) revenue grew 63.1% and PAT 51.7% in FY26 with ROCE of 31.10%, but operating cash flow was 8.6% of PAT, one customer is 25.21% of revenue, and the restated FY26 figures are not comparable with FY25 because the promoters' two proprietorships were absorbed on 1-Apr-2025.

Revenue FY26 **₹414 cr** CAGR FY24-FY26: **191.1%**	PAT FY26 **₹31 cr** CAGR FY24-FY26: **254.2%**	EBITDA margin **13.5%** FY24: **13.6%**	Cash conversion (CFO / PAT, 3 yrs) **69.7%**
Cash tax rate (3 yrs) **26.1%**	P/E at reference (post-issue) **32.9x** peer median: **30.5x**	Blended value (Neutral) **₹61.52** vs reference: **-53.3%**	Reference price **₹131.69** Rs 131.69 = FY26 basic EPS of Rs 5.64 × 23.35, the lowest peer P/E in the DRHP's own table (Escorts Kubota, p. 156). It is a reference point for sizing the model, not a price band and not a view of fair price. The only priced transaction in the DRHP is the 22-Oct-2025 allotment to the promoters at Rs 1,547 per Rs 10 share, Rs 33.63 after the bonus and split, for the business transfer (p. 163).

Where to focus

× Fail **Customer / supplier / geographic concentration** pp. 26, 247, 261-263

Threshold test (above 80%): Northern and Central states were 93.99% of FY26 revenue (Punjab 25.79%, Haryana 18.48%, p. 56). Top customer Seth Agro Industries 25.21% of FY26 revenue (17.20% in FY25); top-10 customers 50.04%. Super Seeder and Straw Reaper together 59.06% of FY26 revenue (p. 26). Supplier concentration is disclosed only for FY25 and FY24 (top-1 was the promoter proprietorship SMW II at 52.55% and 44.13% of expenses), not for FY26; the DRHP says no long-term supply agreement terms are disclosed in the table.

! Watch **Cash flow vs profit** p. 88

Cash flow statement is present. CFO 12.49 / 13.02 / 2.69 Rs cr (FY24 / FY25 / FY26); cumulative CFO/PAT 69.7% (281.93 / 404.39 Rs m), FY26 alone 8.6%. Cash generated from operations was Rs 131.36 m before Rs 104.52 m tax. FY26 working capital absorbed inventory Rs 445.46 m and other assets Rs 281.35 m. The FY26 receivables line shows a Rs 242.66 m decrease although closing receivables (Rs 612.95 m) exceed the FY25 standalone balance (Rs 244.72 m); the acquired opening balances are not shown separately in the statement.

! Watch **Related-party capex & subsidiaries** pp. 94-95, 139

No related-party capex in FY26 (last: Rs 2.60 m from Goodfield Technology in FY24). Two other related-party points: (i) the Dehlon site for the Rs 716.64 m capex object is leased to the company by promoter Jagatjit Singh (rent Rs 1.01 m in FY26); (ii) Rs 45.00 m of loans/advances to Jagatjit Singh were outstanding at 31-Mar-2026 and Rs 10.00 m was advanced to Dharam Singh in FY26 (p. 95). The subsidiary Jagatjit Energies was bought for Rs 0.1 m on 30-Dec-2025 and receives no proceeds under the objects.

! Watch **Goodwill vs tangible equity** pp. 85, 90-91

Goodwill Rs 4.55 m (0.6% of equity) in the restated consolidated balance sheet. The proforma balance sheet shows goodwill of Rs 65.66 m at FY25 and a capital reserve of Rs 32.98 m at FY24, so the purchase-accounting treatment differs between the restated and proforma statements; the DRHP does not reconcile them.

! Watch **Auditor qualifications / changes** pp. 52-53, 97-98

No qualification on the numbers. Auditor history: Singla Gupta & Co resigned 23-Apr-2024 (stated reason: preoccupation); Kansal Sandeep & Associates was appointed 02-May-2024 for FY24 only and ceased 30-Sep-2024 on completion of tenure; Anup Kumar Jain & Co appointed 30-Sep-2024 (peer review certificate 016161; the two earlier firms are shown without one). FY25 and FY24 statements are special-purpose Ind AS statements restated under ICDR. Promoters Jagatjit Singh and Dharam Singh were disqualified as directors 01-Nov-2016 to 31-Oct-2021 (a former group company struck off); a compounding application is pending (p. 36).

! Watch **CARO / audit trail** pp. 52-53

CARO / Rule 11(g): the accounting software had no database-level audit trail up to 31-Dec-2025 (FY26) and for all of FY25; the company says it was enabled in January 2026. No adjustment to the restated numbers.

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Forensic scorecard

Ten forensic checks and seven regulatory checks.

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	22:1 bonus (board 27-May-2026) and 1:2 split (EGM 04-May-2026) are applied retrospectively: EPS 5.64 / 1.42 / 0.57 and NAV 12.75 / 1.54 / 0.12 are on the restated count. The share count behind each year differs: FY26 uses 55,650,984 shares (313.90 / 5.64), FY25 and FY24 use about 46.1 m and 43.9 m (the pre-allotment count), because 9,650,984 shares were issued to the promoters on 22-Oct-2025 for the business transfer. FY26 EPS divides by the full post-issue count, not a time-weighted count; we have not re-weighted it.	pp. 154-156
2	Cash flow vs profit	! Watch	Cash flow statement is present. CFO 12.49 / 13.02 / 2.69 Rs cr (FY24 / FY25 / FY26); cumulative CFO/PAT 69.7% (281.93 / 404.39 Rs m), FY26 alone 8.6%. Cash generated from operations was Rs 131.36 m before Rs 104.52 m tax. FY26 working capital absorbed inventory Rs 445.46 m and other assets Rs 281.35 m. The FY26 receivables line shows a Rs 242.66 m decrease although closing receivables (Rs 612.95 m) exceed the FY25 standalone balance (Rs 244.72 m); the acquired opening balances are not shown separately in the statement.	p. 88
3	Current vs deferred tax	✔ Pass	Current tax Rs 130.30 m of a Rs 130.21 m FY26 charge (deferred credit Rs 0.09 m). Cumulative current tax is 26.1% of cumulative PBT (147.09 / 562.64 Rs m) against a 25.17% statutory rate, so profit is struck after tax that has been paid.	p. 87
4	Related-party capex & subsidiaries	! Watch	No related-party capex in FY26 (last: Rs 2.60 m from Goodfield Technology in FY24). Two other related-party points: (i) the Dehlon site for the Rs 716.64 m capex object is leased to the company by promoter Jagatjit Singh (rent Rs 1.01 m in FY26); (ii) Rs 45.00 m of loans/advances to Jagatjit Singh were outstanding at 31-Mar-2026 and Rs 10.00 m was advanced to Dharam Singh in FY26 (p. 95). The subsidiary Jagatjit Energies was bought for Rs 0.1 m on 30-Dec-2025 and receives no proceeds under the objects.	pp. 94-95, 139
5	Objects arithmetic as price floor	– N.A.	Fresh issue is amount-based (Rs 3,000 m) with no fixed share count, so no price floor can be set. Specific objects total Rs 2,001.64 m (working capital 1,100.00; Dehlon capex 716.64; debt repayment 185.00) = 66.7% of gross proceeds. The other Rs 998.36 m must cover offer expenses and general corporate purposes; the stated GCP ceiling is 25% of gross proceeds (Rs 750 m), which would leave at least Rs 248.36 m for offer expenses if GCP were taken to the ceiling.	pp. 123-124
6	Revaluation reserve	✔ Pass	No revaluation reserve in other equity; the company states it has not issued shares out of revaluation reserve.	pp. 85-86, 107

#	CHECK	RESULT	FINDING	PAGE
7	Goodwill vs tangible equity	! Watch	Goodwill Rs 4.55 m (0.6% of equity) in the restated consolidated balance sheet. The proforma balance sheet shows goodwill of Rs 65.66 m at FY25 and a capital reserve of Rs 32.98 m at FY24, so the purchase-accounting treatment differs between the restated and proforma statements; the DRHP does not reconcile them.	pp. 85, 90-91
8	Customer / supplier / geographic concentration	× Fail	Threshold test (above 80%): Northern and Central states were 93.99% of FY26 revenue (Punjab 25.79%, Haryana 18.48%, p. 56). Top customer Seth Agro Industries 25.21% of FY26 revenue (17.20% in FY25); top-10 customers 50.04%. Super Seeder and Straw Reaper together 59.06% of FY26 revenue (p. 26). Supplier concentration is disclosed only for FY25 and FY24 (top-1 was the promoter proprietorship SMW II at 52.55% and 44.13% of expenses), not for FY26; the DRHP says no long-term supply agreement terms are disclosed in the table.	pp. 26, 247, 261-263
9	Contingent liabilities	✓ Pass	Contingent liabilities Rs 71.70 m (income tax 0.18; GST 22.67, of which Rs 2.14 m relates to SMW I and is to be borne by the company under the BTA; other 6.50; bank guarantees 42.35) = 10.1% of equity of Rs 709.29 m.	p. 93
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	No qualification on the numbers. Auditor history: Singla Gupta & Co resigned 23-Apr-2024 (stated reason: preoccupation); Kansal Sandeep & Associates was appointed 02-May-2024 for FY24 only and ceased 30-Sep-2024 on completion of tenure; Anup Kumar Jain & Co appointed 30-Sep-2024 (peer review certificate 016161; the two earlier firms are shown without one). FY25 and FY24 statements are special-purpose Ind AS statements restated under ICDR. Promoters Jagatjit Singh and Dharam Singh were disqualified as directors 01-Nov-2016 to 31-Oct-2021 (a former group company struck off); a compounding application is pending (p. 36).	pp. 52-53, 97-98
R2	CARO / audit trail	! Watch	CARO / Rule 11(g): the accounting software had no database-level audit trail up to 31-Dec-2025 (FY26) and for all of FY25; the company says it was enabled in January 2026. No adjustment to the restated numbers.	pp. 52-53
R3	Monitoring agency	✓ Pass	Monitoring agency to be appointed (issue above Rs 1,000 m). Rs 185 m of proceeds repays bank borrowings of Rs 1,641.44 m outstanding at 31-Aug-2026; Rs 1,340.89 m is secured by promoters' personal guarantees (p. 40), so repayment may release some of them: an indirect promoter benefit. The related-party loans from promoters (Rs 2.29 m + 0.89 m + 4.83 m) are not listed for repayment.	pp. 98, 123-124, 140

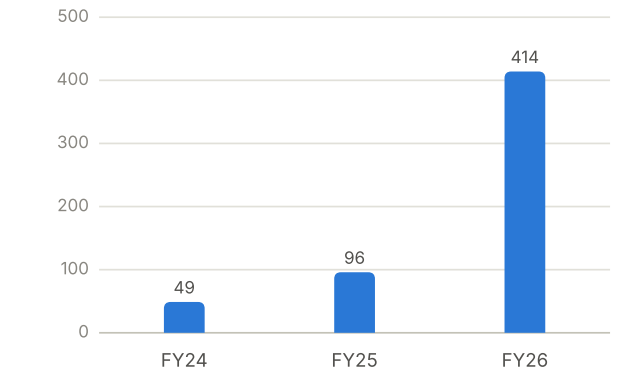
#	CHECK	RESULT	FINDING	PAGE
R4	Eligibility re-computation	✔ Pass	Re-performed: the issuer states it does not meet Reg 6(1)(a) or 6(1)(c) and offers under Reg 6(2) (at least 75% to QIBs). Net tangible assets 704.75 / 70.78 / 5.32 Rs m and monetary assets 161.59 / 39.14 / 33.26 Rs m (22.9% / 55.3% / 625% of NTA) at FY26 / FY25 / FY24: the FY24 net worth of Rs 5.32 m is below the Rs 10 m test and FY25 monetary assets exceed 50%. The statement reproduces from the balance sheets. KPI EBITDA 557.38 reproduces from the P&L (444.12 + 101.63 + 46.66 - 35.03).	p. 503
R5	SME conditions	✔ Pass	Offer for sale up to 3,100,000 shares by Jagatjit Singh, 6.3% of his 48,990,736 shares (below half of his holding). At the Rs 131.69 reference the OFS is Rs 408.2 m, 12.0% of a Rs 3,408.2 m offer (under the 20% ceiling). Re-test at the RHP price.	p. 1, p. 82
R6	Lead-manager track record	! Watch	The DRHP lists only two IPOs handled by Keynote Financial Services in the period: Amir Chand Jagdish Kumar (Exports), Apr-2026, -23.53% at day 30 and -15.98% at day 90 against issue price; CSM Technologies, Jul-2026, -2.75% at day 30. Neither has a 180-day reading. Both are in data/merchant_bankers.json. The full BRLM track record is delegated to the BRLM's website.	pp. 510-511
R7	Firm means of finance	– N.A.	Objects are funded from the fresh issue; the Rs 716.64 m capex has no orders placed (100% of cost, pp. 129, 139). Any means-of-finance tie-up beyond net proceeds is not described.	pp. 123-141

Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

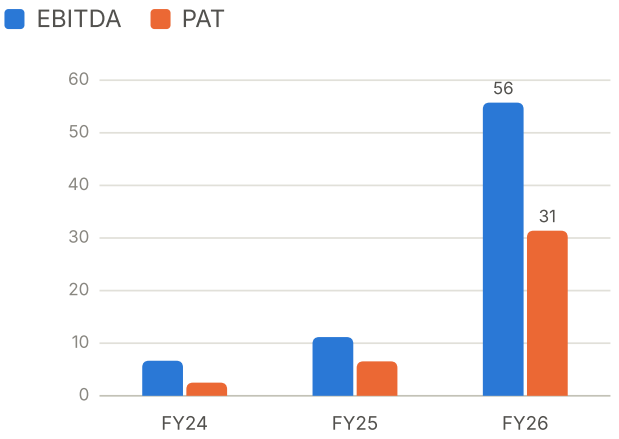
Revenue from operations

Rs crore



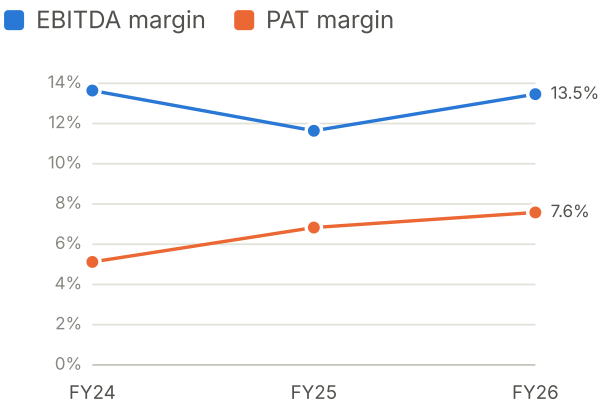
EBITDA and PAT

Rs crore



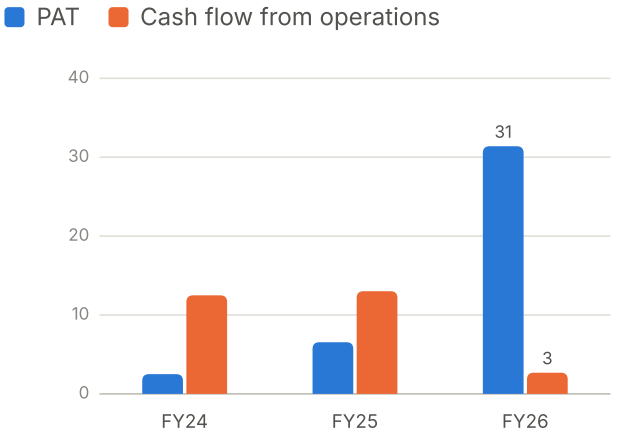
Margins

% of revenue



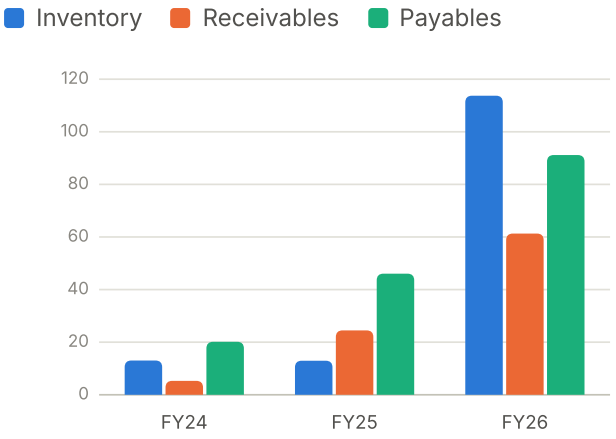
Cash conversion: PAT vs operating cash flow

Rs crore. Profit that does not become cash shows as the gap.



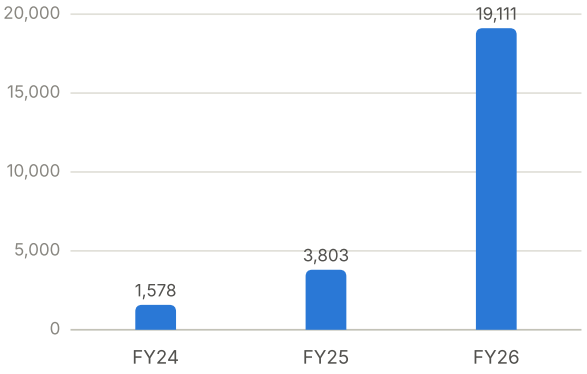
Working capital build-up

Rs crore, year end



Volume

units sold

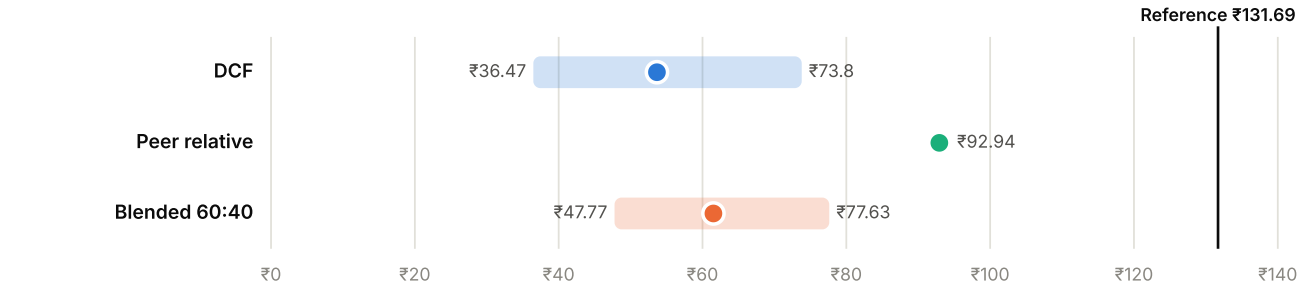


Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Rs 131.69 = FY26 basic EPS of Rs 5.64 × 23.35, the lowest peer P/E in the DRHP's own table (Escorts Kubota, p. 156). It is a reference point for sizing the model, not a price band and not a view of fair price. The only priced transaction in the DRHP is the 22-Oct-2025 allotment to the promoters at Rs 1,547 per Rs 10 share, Rs 33.63 after the bonus and split, for the business transfer (p. 163).

Valuation range per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical line is the reference price.



Scenario summary

RS/SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹36.47	₹92.94	**₹47.77**	-63.7%
Neutral	₹53.66	₹92.94	**₹61.52**	-53.3%
Bull	₹73.8	₹92.94	**₹77.63**	-41.0%

WACC	**16.2%**
Terminal value share of EV	**93.3%**

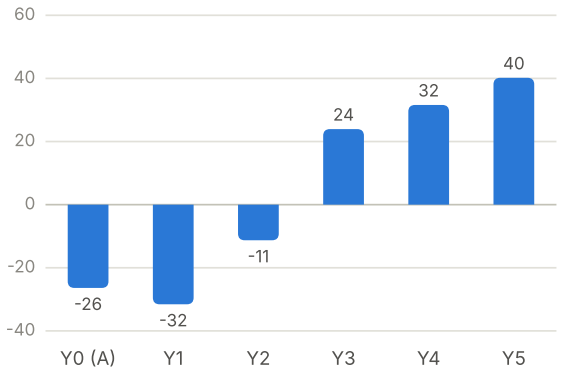
Reverse DCF: what the reference price needs

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	16.2%
required EBIT margin (steady state)	41.0%	12.3%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	24.9%

Current free cash flow is negative: no multiple can be stated, and the entire price rests on a turn that has not yet begun.

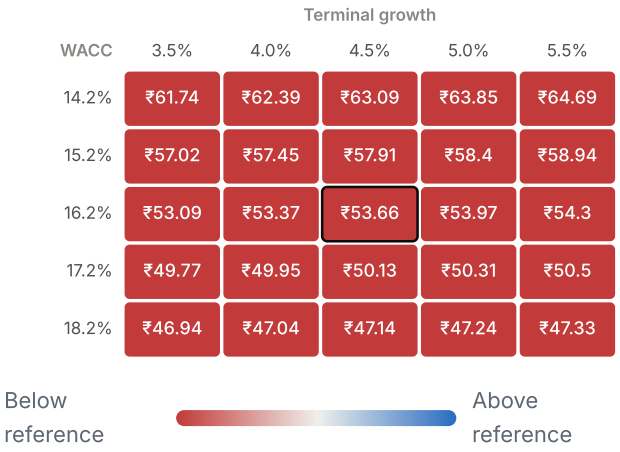
DCF projection (Neutral): free cash flow to firm

Rs crore; Y0 is the latest audited year



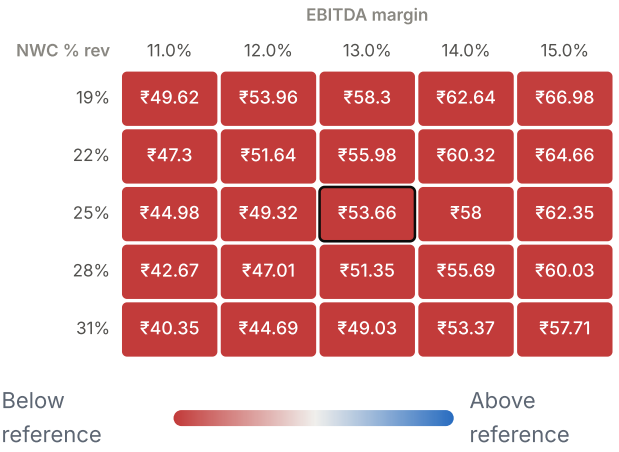
Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.



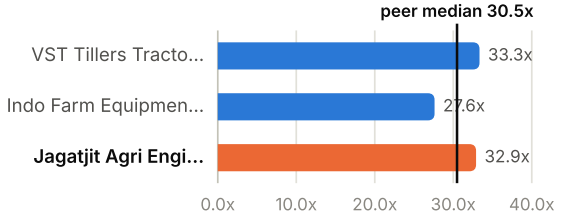
Sensitivity: working capital vs EBITDA margin

Value per share (Rs). The lever that moves value most deserves the most diligence.



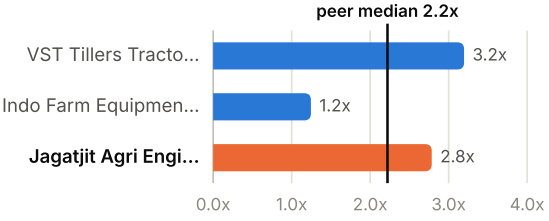
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth

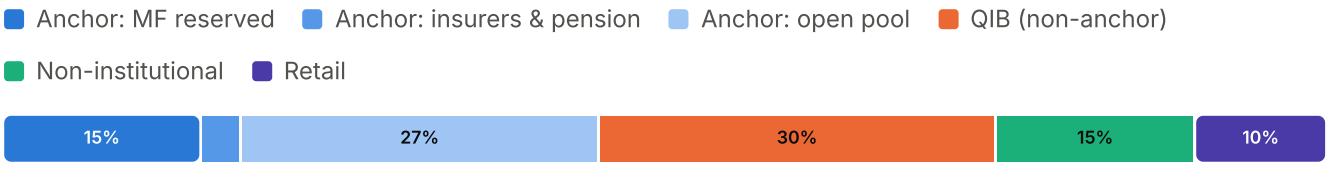


Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

Issue split by investor category (Rs 341 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Promoter minimum contribution (20% of post-offer capital at the Rs 131.69 reference)	156.9	548
Promoter holding above the minimum contribution, after the OFS	368.5	180
Pre-issue non-promoter holders (promoter-group members and one other, 18,400 shares)	0.18	180

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

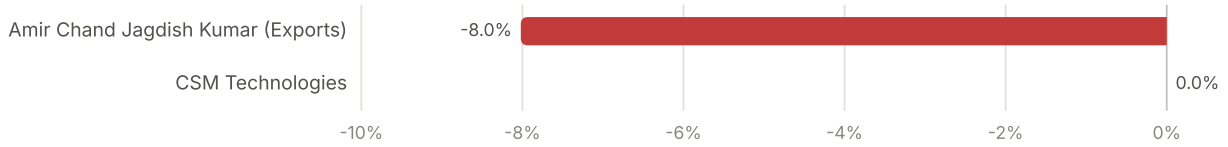
Keynote Financial Services Limited

Listed: Yes (BSE: 512597; NSE: KEYFINSERV)
Owner: Promoter holding reported at about 71.9% (promoters include Vivek Suchanti, 10.45% after a June-2025 HUF partition)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	2	586
FY2025-26	0	–
FY2024-25	0	–

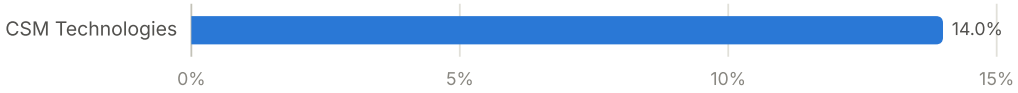
Listing-day open vs issue price

Recent issues handled by this offer's lead managers



Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)



SWOT

Each point carries its figure and page reference in the note.

STRENGTHS

- Proforma revenue Rs 2,074.48 m / 2,537.60 m / 4,139.70 m FY24-FY26, a 41.3% two-year CAGR (p. 158)
- ROCE 31.10% and ROE 53.89% in FY26; interest cover 5.03x (p. 158)
- Cash tax 26.1% of cumulative PBT, above the 25.17% statutory rate (p. 87)
- 233 dealers and 12 distributors in 20 states, up from 15 states in FY25; 192 SKUs (pp. 158, 247)
- Both plants run at 73.62% (Cheema) and 89.68% (Dehlon) utilisation in FY26 (p. 266)

WEAKNESSES

- Operating cash flow Rs 26.85 m against PAT Rs 313.90 m in FY26; cumulative CFO/PAT 69.7% (p. 88)
- Seth Agro Industries 25.21% and top-10 customers 50.04% of FY26 revenue (p. 261)
- Super Seeder 32.99% and Straw Reaper 26.07% of FY26 revenue (p. 26)
- Debt/equity 1.89x; borrowings Rs 1,344.07 m, of which Rs 1,340.89 m carry promoter personal guarantees (pp. 40, 158)
- Audit trail not enabled at database level until Jan-2026 (p. 52)

OPPORTUNITIES

- Soil-preparation equipment forecast to grow at 10.2% CAGR FY26-FY30, issuer-commissioned CARE report (p. 209)
- Dehlon capacity to rise from 4,000 to 33,000 units with the Rs 716.64 m object (p. 137)
- Entry into briquette and pellet machinery (p. 261)
- Export revenue only 1.36% of FY26, so the base is small if exports recover (p. 158)

THREATS

- Demand linked to CRM and SMAM subsidies, with past payment delays by state governments (p. 56)
- Northern and Central states 93.99% of revenue; Punjab 25.79%, Haryana 18.48% (p. 56)
- Promoters ran competing businesses until 31-Mar-2025; non-compete runs 12 months after they cease control (p. 53)
- Promoters were disqualified as directors 2016-2021; compounding application pending (p. 36)
- Larger listed rivals: VST Tillers Tractors and Escorts Kubota (p. 156)

Due-diligence note

Jagatjit Agri Engineering Limited: DRHP screen

> **Basis.** Draft Red Herring Prospectus dated 25-Sep-2026 (SEBI filing page dated 01-Oct-2026), 100% book-built fresh issue of Rs 3,000 m plus an offer for sale of up to 3,100,000 shares by promoter Jagatjit Singh, under Reg 6(2) of the ICDR (at least 75% to QIBs). Keynote Financial Services Limited is sole BRLM. Restated financials run to 31-Mar-2026, **178 days before the DRHP date and 198 days old at the date of this note**. No price band exists. All issuer figures are from the DRHP; printed page numbers are cited. Only the merchant-banker section uses outside sources, each named and unverified.
>
> Upside is measured against **Rs 131.69**: FY26 basic EPS of Rs 5.64 times 23.35, the lowest peer P/E in the DRHP's own table (p. 156). It is a reference to size the model, not a price band and not a view of the right price. Exit route assumed: 2-3 year hold.
>
> A DRHP is a screen, not a decision. The RHP must carry financials no more than six months old and should include H1 FY27. Until it is read, this note supports no commitment of capital.

Verdict: Screen only. The evidence is mixed.

Strengths: growth and returns are high on a like-for-like basis, and profit is taxed.

- Proforma revenue (the DRHP's own like-for-like series) went from Rs 2,074.48 m in FY24 to Rs 2,537.60 m in FY25 and Rs 4,139.70 m in FY26; proforma PAT from Rs 80.82 m to Rs 206.95 m to Rs 313.90 m (p. 158).
- ROCE was 31.10%, ROE 53.89% and interest cover 5.03x in FY26 (p. 158).
- Current tax was 26.1% of cumulative PBT (Rs 147.09 m of Rs 562.64 m), above the 25.17% statutory rate (p. 87).
- No outstanding criminal proceedings against the company (p. 489); contingent liabilities are Rs 71.70 m, 10.1% of equity (p. 93).

Concerns: the history is not comparable, cash has not followed profit, and the revenue base is concentrated.

- FY26 restated revenue (Rs 4,139.70 m) is 4.3x FY25 (Rs 959.26 m) because the promoters' two proprietorships (SMW I and II) were absorbed from 1-Apr-2025. In FY25 the company sold 21.9% of its revenue to SMW II and bought 52.6% of its expenses from it (pp. 262-263).
- FY26 operating cash flow was Rs 26.85 m against PAT of Rs 313.90 m (8.6%); cumulative CFO/PAT is 69.7% (p. 88). Inventory stands at Rs 1,137.11 m, 132 days (pp. 85, 127).
- Seth Agro Industries is 25.21% of FY26 revenue (17.20% in FY25) and Northern and Central states are 93.99% (pp. 247, 261).
- At the Rs 131.69 reference the issue is 23.35x FY26 EPS and 35.4x proforma FY25 EPS; blended fair value in our model is Rs 47.77 / 61.52 / 77.63 (Bear / Neutral / Bull).

The two readings separate on whether FY26 is the new run-rate. If the Oct-2025 to Mar-2026 sales season repeats at the FY26 level and inventory converts to cash, the returns shown are real. If FY26 was inflated by one distributor and by a one-time stocking of the channel, growth will slow toward the industry's 10.2% and the

working-capital need will outrun profit. **H1 FY27 cash flow, the identity and terms of Seth Agro Industries, and the RHP price band are what resolve it.**

Snapshot

Item	Detail
Company	Jagatjit Agri Engineering Limited (Ludhiana, Punjab); incorporated 25-Aug-2020; public company since 23-Mar-2026 (p. 1)
Business	Tractor-mounted and tractor-operated agricultural implements under the Jagatjit brand; 20 products, 192 SKUs (p. 158)
Offer	Fresh issue Rs 3,000 m + OFS up to 3,100,000 shares (Jagatjit Singh); pre-IPO placement up to Rs 600 m possible (p. 1)
Offer size (our reference)	Rs 340.82 cr at the Rs 131.69 reference (Rs 300 cr fresh + Rs 40.82 cr OFS)
Promoters	Dharam Singh (3.69%), Jagatjit Singh (88.03%), Simran Saron (8.25%); promoters hold 99.97% pre-offer (p. 111)
Shares pre-offer	55,650,984 of Rs 5 each, after 22:1 bonus and 1:2 split (p. 154)
Promoter WACA	Rs 5.40 for the selling shareholder (p. 1)
Revenue FY26	Rs 4,139.70 m restated consolidated; EBITDA Rs 557.38 m (13.46%); PAT Rs 313.90 m (p. 158)
Net debt	Rs 1,194.17 m (borrowings Rs 1,344.07 m less cash and bank balances Rs 149.90 m) (pp. 85, 158)
Call	**Screen only**

Business model

The company designs and builds tractor-mounted implements: Super Seeder, Straw Reaper, Rotavator, Laser Land Leveller, Reaper Binder, briquette machines and 15 others (p. 266). Super Seeder (Rs 1,365.60 m, 32.99% of FY26 revenue) and Straw Reaper (Rs 1,079.40 m, 26.07%) together are 59.06% (p. 26). Both are crop-residue machines, and the DRHP says demand is linked to central and state schemes (CRM and SMAM) funded about 60% by the centre and 40% by states, with past delays in subsidy payments (p. 56).

Customers are farmers, reached through 233 dealers and 12 distributors in 20 states (p. 158). Dealers and distributors were 86.08% of FY26 revenue (dealers 39.92%, distributors 46.16%, direct 13.89%), against 64.46% in FY25 (p. 247). Dealers and distributors get 30 to 45 days of credit; distributors earn commission and sales incentives; there is a one-year warranty (p. 264). The company makes in-house from cutting and bending to machining, painting and assembly at two plants, Cheema and Dehlon, and buys steel, gearboxes, bearings and other bought-out parts (p. 266). Gross margin is 39.06% because, after the transfer, it earns both the manufacturing and the selling margin that earlier sat with the promoters' proprietorship; the proforma FY25 gross margin was 37.19% (p. 158).

Industry analysis

The industry data come from the CARE Industry Report, **commissioned and paid for by the company** for the offer (p. 21), so market-size and growth statements are issuer-sourced. CARE puts the domestic farm-equipment market at Rs 1,397 bn in FY26 growing 7.7% a year to FY30, the tractor market at 7.5% and soil-preparation and cultivation implements at 10.2% (pp. 206, 209); the implements industry grew at a 10.2% CAGR over FY23-FY26 (p. 247). The market is fragmented between large listed tractor makers that also sell implements and many regional fabricators. The DRHP states there are no listed peers with a comparable portfolio (p. 156) and names VST Tillers Tractors, Indo Farm Equipment and Escorts Kubota as the nearest. Demand depends on monsoon and crop cycles, farm incomes, and state subsidy budgets, so revenue is seasonal; management extended vendor credit from October to January during peak season (p. 474). The company does not name its unlisted competitors.

Moat

- **Brand and channel.** The DRHP describes the Jagatjit brand as active since the 1980s and a 245-partner dealer and distributor network (pp. 246, 158). Brand strength is asserted, not measured: no market-share figure is given beyond the issuer's claim of "leading market share across top three products" (p. 154).
- **Scale and integration.** Single-roof manufacturing and 23,875 units of installed capacity; the Dehlon expansion would take it to 52,875 (pp. 137, 266). Fabrication is not a durable barrier; the proforma 9.74% to 14.51% to 13.46% EBITDA margin sits at the level of the three listed peers (13.17% to 13.27%, p. 161).
- **Subsidy empanelment.** Manufacturer empanelment at state level is a licence-type barrier, but it is state-by-state and revocable (p. 56).
- **Evidence of a moat** would be margins persistently above peers, which the data do not show. The honest reading is a strong regional brand and distribution position with limited structural protection, durable to the extent the dealer relationships are.

Revenue and profit growth drivers

- **Revenue.** Restated FY26 revenue is up Rs 3,180.44 m on FY25; the DRHP attributes the increase primarily to the acquired businesses (p. 473). Like-for-like (proforma), growth was Rs 1,602.10 m or 63.1%. Units sold were 19,111 against 12,234 proforma in FY25 (+56.2%), so most of the growth is volume rather than price: revenue per unit was Rs 216.6 thousand against Rs 207.4 thousand (+4.4%) (p. 158; our arithmetic). Domestic revenue was 98.61%; exports fell to Rs 56.33 m (p. 247).
- **Profit.** Proforma PAT rose 51.7% against revenue 63.1%. Gross margin rose from 37.19% to 39.06% but EBITDA margin fell from 14.51% to 13.46%: commission rose to Rs 151.23 m, contract labour to Rs 172.45 m and travel to Rs 80.77 m (pp. 474-475). Other income of Rs 35.03 m includes Rs 26.05 m of old creditor balances written back, 5.9% of PBT. Finance costs were Rs 101.63 m.
- **One-offs.** Penal charges of Rs 4.39 m and vendor interest of Rs 7.36 m in finance cost relate to the transition and peak-season credit (p. 474).

SWOT

	Item (figure, page)
Strengths	Proforma revenue Rs 2,074.48 m / 2,537.60 m / 4,139.70 m FY24-FY26 (p. 158); ROCE 31.10%, ROE 53.89% FY26 (p. 158); cash tax 26.1% of PBT (p. 87); 233 dealers, 12 distributors, 20 states (p. 158); plant utilisation 73.62% Cheema and 89.68% Dehlon (p. 266)
Weaknesses	CFO Rs 26.85 m vs PAT Rs 313.90 m FY26 (p. 88); Seth Agro 25.21%, top-10 customers 50.04% (p. 261); two products 59.06% (p. 26); debt/equity 1.89x, Rs 1,340.89 m under promoter guarantees (pp. 40, 158); audit trail enabled only from Jan-2026 (p. 52)
Opportunities	Soil-preparation equipment 10.2% CAGR FY26-FY30, issuer-commissioned (p. 209); Dehlon capacity 4,000 to 33,000 units (p. 137); briquette and pellet machines (p. 261); exports only 1.36% of revenue (p. 158)
Threats	Subsidy-linked demand and payment delays (p. 56); Northern and Central states 93.99%, Punjab 25.79%, Haryana 18.48% (p. 56); promoters ran competing businesses until 31-Mar-2025 (p. 53); past director disqualification and pending compounding (p. 36); larger listed rivals (p. 156)

The offer and objects

Object	Rs m	Share of Rs 3,000 m
Working capital	1,100.00	36.7%
Dehlon capex (excl. claimable GST Rs 91.74 m and ancillary charges)	716.64	23.9%
Debt repayment	185.00	6.2%
Offer expenses + general corporate purposes	998.36 (balance)	33.3%

(pp. 123-124. The balance is our arithmetic.) The stated ceiling for general corporate purposes is 25% of gross proceeds, Rs 750 m (p. 124); if it were taken to the ceiling, offer expenses would have to be at least Rs 248.36 m. Neither is stated and both should be tested against the ICDR in force at the RHP.

- **Working capital.** The plan holds bank borrowing flat at Rs 1,150 m for FY27 to FY29 and uses IPO funds of Rs 700 m in FY28 and Rs 400 m in FY29, with working capital need rising from Rs 1,029.46 m (FY26) to Rs 2,653.59 m (FY29) (pp. 126-127). The plan's trade receivables rise from Rs 597.06 m to Rs 1,681.64 m (2.8x) at 45 days both ends, and inventory from Rs 1,136.79 m to Rs 2,878.77 m (2.5x) at about 130 days. On our arithmetic that implies revenue of roughly 2.5x to 2.8x FY26 by FY29, a CAGR of about 36% to 41%. Our Neutral case is 18% / 16% / 14% / 12% / 10%, 1.6x at FY29; the Bull is about 2.0x at FY29. The RHP should state the revenue projection behind the plan.
- **Capex.** Rs 716.64 m for 29,000 more units of capacity (about Rs 24,700 per unit) compares with FY26 PPE of Rs 516.63 m for 23,875 units (about Rs 21,600 per unit). **No orders have been placed for any of it** (100% of cost); quotations are valid nine months to one year; the Dehlon land is **leased from promoter Jagatjit Singh** (pp. 129, 139). Total installed capacity after expansion, 52,875 units, is 2.8x FY26 units sold (19,111).
- **Debt repayment.** Rs 185 m against Rs 1,641.44 m outstanding at 31-Aug-2026 (up from Rs 1,344.07 m at 31-Mar-2026); Rs 1,340.89 m carries promoter guarantees (pp. 40, 140). Repayment may release some

guarantees, an indirect benefit to the promoters.

- **Offer for sale.** 3,100,000 shares, 6.3% of the selling shareholder's holding, 12.0% of the offer at the reference price, within the limits tested (R5).

Financials and key findings

Rs m	FY24 (standalone)	FY25 (standalone)	FY26 (consolidated)	Proforma FY25	Proforma FY24
Revenue	488.60	959.26	4,139.70	2,537.60	2,074.48
EBITDA	66.66	111.65	557.38	368.18	201.97
EBITDA margin	13.64%	11.64%	13.46%	14.51%	9.74%
PAT	25.02	65.47	313.90	206.95	80.82
CFO	124.93	130.15	26.85	n.a.	n.a.
Total equity	5.32	70.78	709.29	455.62	264.22
Borrowings (incl. leases)	267.67	201.44	1,344.07	845.24	646.54

(pp. 85-88, 90-92, 158.)

Positives: (1) proforma PAT up 156% then 52% over two years on rising margins at the PAT line; (2) cash tax paid at the statutory rate; (3) ROCE above 30% on both bases; (4) receivables are current: 96.8% of the Rs 628.74 m gross balance is within six months of due date and 2.2% is over a year, with an allowance of Rs 15.81 m (p. 371); (5) the largest FY26 customer is not a related party in the DRHP's table.

Concerns: (1) cash conversion: FY26 CFO of 8.6% of PAT, with inventory up Rs 445.46 m and other current assets up Rs 281.35 m (p. 88); (2) trade payables of Rs 911.54 m, of which micro and small enterprise dues are Rs 424.14 m (46.5%), which carry statutory interest exposure (p. 85); (3) borrowings up 22% in five months; working-capital limits of Rs 1,150 m were 82% drawn at 31-Aug-2026 (p. 126); (4) Rs 55 m was lent to promoters in FY26, Rs 45 m of it outstanding (p. 95); (5) promoter remuneration of Rs 60 m (Jagatjit Singh 30, Dharam Singh 18, Simran Saron 12) is 21.8% of employee cost and 19.1% of PAT; it was nil before FY26 (p. 94); (6) the FY26 EBITDA and PAT contain no stub, but the audited record ends 31-Mar-2026.

Related-party and conflict register. The promoters ran competing proprietorships until 31-Mar-2025. The consideration for the business transfer was Rs 324.57 m (SMW I Rs 69.13 m, SMW II Rs 255.44 m), paid in shares at Rs 1,547 per Rs 10 share on the valuation of one registered valuer; the asset schedule for SMW I was re-valued upward to Rs 399.41 m by an addendum dated 23-Jul-2026 (pp. 301-302). The DRHP does not show how the Rs 4.55 m of goodwill arose from this price (proforma FY25 shows Rs 65.66 m).

Forensic scorecard

#	Check	Status	Finding (page)
1	Bonus before filing	PASS	22:1 bonus and 1:2 split applied in EPS and NAV; share count differs by year (pp. 154-156)
2	Cash flow vs profit	WATCH	Cumulative CFO/PAT 69.7%; FY26 8.6% (p. 88)

#	Check	Status	Finding (page)
3	Current vs deferred tax	PASS	Cash tax 26.1% of cumulative PBT (p. 87)
4	Related-party capex	WATCH	Capex on promoter-leased land; Rs 45 m promoter loan outstanding (pp. 95, 139)
5	Objects as price floor	N.A.	Amount-based issue; 66.7% of gross proceeds is specific objects (pp. 123-124)
6	Revaluation reserve	PASS	None (pp. 85-86)
7	Goodwill	WATCH	Rs 4.55 m restated vs Rs 65.66 m proforma (pp. 85, 90)
8	Concentration	FAIL	Geography 93.99%; top customer 25.21%; FY26 suppliers not disclosed (pp. 247, 261)
9	Contingent liabilities	PASS	Rs 71.70 m, 10.1% of equity (p. 93)
10	Investor presentation	N.A.	Not reviewed
R1	Auditor	WATCH	Two auditor changes in 2024; disqualification history (pp. 36, 97-98)
R2	Audit trail	WATCH	No database-level trail until Jan-2026 (p. 52)
R4	Eligibility	PASS	Reg 6(2) route reproduces (p. 503)
R5	OFS limits	PASS	6.3% of holding; 12.0% of offer (p. 82)
R6	BRLM record	WATCH	Two IPOs, both below issue price at day 30 (p. 510)

"FAIL" on check 8 is a threshold test (above 80% on geography), not a finding of wrongdoing.

Merchant banker: Keynote Financial Services Limited

- **Name and owner.** Keynote Financial Services Limited; SEBI-registered merchant banker (DRHP front page). The company is listed (BSE 512597; NSE KEYFINSERV) and promoter holding is reported at about 71.9% (secondary: IIFL, Motilal Oswal, Screener; unverified; verify from the latest shareholding filing).
- **Issues handled.** The DRHP lists two IPOs in FY27 to date, Rs 5,858 m in total, and none in FY26 or FY25 (p. 511).

Issue	Size Rs m	Issue price Rs	Listed	Open Rs	Day 30	Day 90	Day 180
Amir Chand Jagdish Kumar (Exports)	4,400	212.00	02-Apr-2026	195.00 (-8.0%)	-23.53%	-15.98%	n.a.
CSM Technologies	1,458	113.00	02-Jul-2026	113.00 (0.0%)	-2.75%	n.a.	n.a.

(p. 510; changes are against issue price.) **Current price and issuer financials (secondary, unverified).**

- **Amir Chand Jagdish Kumar (Exports):** last reported price Rs 196.00 after Q1 FY27 results (hdfcsky / DSIJ reports; date not stated, 5paisa shows a conflicting Rs 124 on 16-Apr-2026); 9M FY26 revenue Rs 1,592.46 cr (+12%) and PAT Rs 83.34 cr (+71%); full-year and three-year series not sourced.
- **CSM Technologies:** FY26 consolidated total income Rs 228.72 cr (+14.0%) against Rs 200.63 cr in FY25 and PAT Rs 24.01 cr (+70.2%) against Rs 14.09 cr (single news summary; no current price sourced).

Read. A small sample of two issues. Both closed below issue price at day 30 (-23.53% and -2.75%) and the first was still 15.98% below at day 90; the first opened 8.0% below issue price. Two issues are too few to say anything firm about the lead manager's pricing, and the full track record the SEBI circular asks for is delegated to the BRLM's website (p. 511).

Valuation and reverse DCF

Our model (Rs per share, post-issue diluted at the reference price; 80:20 DCF:relative because the DRHP names no comparable listed peers; terminal growth 4.50%):

	Bear	Neutral	Bull
DCF	36.47	53.66	73.80
Relative	92.94	92.94	92.94
Blended	47.77	61.52	77.63
vs Rs 131.69 reference	-63.7%	-53.3%	-41.1%

- **Drivers.** Revenue growth Bear 6% / 5% / 5% / 4% / 4%, Neutral 18% / 16% / 14% / 12% / 10%, Bull 30% / 25% / 20% / 16% / 12%; EBITDA margin 11.0% / 13.0% / 14.5%; working capital 27% / 25% / 22% of revenue; terminal ROIC 12% / 18% / 24%. Rationale and cites are in the workbook (Assumptions sheet). Bear excludes the capex object and its funding.
- **Relative.** The peer set is VST Tillers Tractors (P/E 33.34x) and Indo Farm Equipment (27.62x); Escorts Kubota (23.35x) is shown and excluded as 28x the issuer's revenue. The peer set is the DRHP's, not comparable in portfolio (p. 156), and net debt for the peers is derived by us from the DRHP's EV/EBITDA. We apply a 30% discount to the peer median for size, concentration and business-model gap.
- **Divergence.** DCF and relative diverge by about 42% in the Neutral case. The relative method prices FY26 earnings of Rs 31.39 cr at peer multiples, while the DCF prices cash: net working capital absorbs about 25% of each rupee of revenue and FY26 free cash flow is negative. The gap is the investment question: whether earnings convert to cash as working capital stabilises.
- **Terminal value** is above 75% of enterprise value in the Neutral case (guard flag): the DCF leans on the terminal year.
- **Reverse DCF.** Current free cash flow is negative, so no multiple can be stated, and the entire price at the reference rests on a turn in cash conversion that has not yet begun.
- **Post-money dilution.** If the Rs 3,000 m fresh issue were counted in full, FY26 PAT of Rs 313.90 m on equity of Rs 3,709.29 m would be a return of at most 8.5%, against the 53.89% shown pre-issue (p. 158). Promoter cost: Rs 5.40 (selling shareholder) and Rs 33.63 (Oct-2025 allotment) against the Rs 131.69 reference.
- The reference sits above all three blended values. That is a statement about the reference, which is ours; the actual band may differ materially.

Supply overhang (at the reference price). Promoter minimum contribution about 156.9 lakh shares locked for 18 months; promoter holding above it about 368.5 lakh shares for six months; non-promoter pre-issue shares

0.184 lakh for six months (pp. 111, 116-117). The six-month cliff of about 368.5 lakh shares compares with a public float of about 258.8 lakh shares (fresh 227.8 + OFS 31.0 lakh), so float meets a larger release at six months. Anchor allotments are discretionary and locked in (half for 30 days, half for 90 days), so cannot be sold on listing day.

What would change our view

Measurable against the RHP:

1. Audited or limited-review H1 FY27 financials show CFO above 50% of PAT and inventory days below 120.
2. The identity of Seth Agro Industries is disclosed with no promoter link, and its FY27 share of revenue is below 20%.
3. FY26 supplier concentration is disclosed and the top supplier is below 30% of purchases.
4. Orders are placed for at least half of the Rs 716.64 m capex, with the Dehlon lease terms and rent stated.
5. The RHP states the revenue projection behind the working-capital plan, and it is within the range of our Neutral and Bull cases (1.6x to 2.0x FY26 by FY29), or the price band is at or below our blended values (Rs 47.77 / 61.52 / 77.63).
6. The goodwill of Rs 4.55 m is reconciled to the Rs 324.57 m consideration and the proforma Rs 65.66 m.
7. State subsidy receivables outstanding are disclosed and are below 10% of receivables. In the other direction: a price band above Rs 131.69 with the same financials, or a larger share of revenue from one counterparty.

Risks

Dependence on two products (59.06%); subsidy policy and payment delays (p. 56); regional concentration (93.99%); seasonality and a working-capital model that relies on bank limits that were 82% used (pp. 126, 56); integration of two proprietorships absorbed 18 months before listing; promoter guarantees of Rs 1,340.89 m and loans to promoters; competing-business history and a non-compete only 12 months after exit (p. 53); director disqualification history (p. 36); no listed peers with a comparable portfolio; unordered capex on leased land; promoters hold 99.97% pre-offer.

Data gaps

Gap	Severity
Price band, offer expenses, GCP amount, post-issue share count	High
H1 FY27 financials; audited record ends 31-Mar-2026	High
FY26 supplier concentration; identity of Seth Agro Industries	High
Purchase accounting for the business transfer: goodwill Rs 4.55 m vs Rs 65.66 m proforma; allocation of Rs 324.57 m	Medium
Promoter issue WACA printed Rs 35.15 (p. 163) vs Rs 33.63 computed from Rs 324.57 m / 9,650,984 shares	Medium
Capex: no orders placed; promoter lease terms	Medium
Comparable listed peers (issuer states none)	Medium

Gap	Severity
Subsidy receivables outstanding and ageing	Medium
Current price and 3-year financials for Keynote's two IPOs	Medium
Objects working-capital payables (Rs 568.51 m FY25 proforma) vs proforma balance sheet (Rs 592.29 m)	Low

Verification

- **Restated statements reproduce.** FY26 expenses sum to Rs 3,730.62 m against Rs 3,730.61 m printed (rounding); PBT Rs 444.12 m = income Rs 4,174.73 m less expenses; PAT = PBT less tax Rs 130.21 m (Rs 313.91 m vs Rs 313.90 m printed, rounding). FY25 and FY24 expense lines sum exactly. Total assets Rs 3,188.36 m agree with total equity and liabilities. The FY26 balance sheet balances.
- **KPI EBITDA** Rs 557.38 m reproduces (444.12 + 101.63 + 46.66 - 35.03); FY25 and FY24 also reproduce (80.20 + 19.16 + 14.63 - 2.34 = 111.65; 38.32 + 21.18 + 9.47 - 2.31 = 66.66).
- **Cash flow.** FY26 net movement: 26.85 - 196.81 + 236.13 = 66.17, plus 0.34 opening and 2.15 acquired = 68.66 vs 68.67 printed (rounding).
- **EPS.** Rs 313.90 m / 55,650,984 shares = Rs 5.64 (reproduces); FY25 and FY24 EPS use smaller pre-allotment counts (see check 1).
- **Document inconsistencies, not extraction errors:** promoter-issue WACA (Rs 35.15 vs Rs 33.63 computed, p. 163); the objects-table payables vs the proforma balance sheet; goodwill under the restated and proforma bases. These are in the issuer's document as printed.
- **Not tested:** the image-only annexures were not needed because the text layer was readable; the investor presentation was not reviewed; the industry report was not read in full.
- **Outside sources** are used only in the merchant-banker section and are marked unverified.
- **Workbooks:** the toolkit verification result is recorded in the pull request.

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